

Configuring Standard Costing

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In Dynamics 365 Finance, **Standard Costing** is a method of inventory valuation where each item is assigned a fixed, predetermined cost that remains constant over a period of time. This allows organizations to stabilize pricing, control spending, and measure performance by comparing expected costs against actual expenses. Any difference between the two is recorded as a variance, making it easier to analyze cost efficiency and identify areas for improvement.

For the **Waterdeep Trading Company**, Greta Ironfist uses Standard Costing to ensure consistency across her trade empire. Whether selling sturdy leather backpacks to adventurers or enchanted crystal reagent bottles to wizards, customers can rely on stable pricing, even if supplier costs fluctuate in Baldur's Gate or Calimport. This predictability not only simplifies her ledgers but also strengthens customer trust in a land where economic tides often shift as swiftly as the Sword Coast seas.

Objective

By the end of this training, you will be able to:

- Understand the role of Standard Costing in Dynamics 365 Finance.
- Configure costing sheets, versions, and cost groups for standard cost tracking.
- Assign and activate standard costs for individual items.
- Recognize how variances are generated and posted to the ledger.
- Apply Standard Costing concepts to real-world business scenarios and Faerûnian trade examples, ensuring stable pricing and clear financial reporting.

Setting Up the Costing Sheet

The costing sheet defines how standard costs are broken down and tracked within Dynamics 365 Finance. It acts as a blueprint, organizing material, labor, and overhead into logical groups for consistent valuation. By configuring

costing sheets, organizations can analyze where money is spent, ensure that direct and indirect costs are captured, and maintain transparency in their cost structure. For the Waterdeep Trading Company, this ensures that every backpack, barrel, or reagent bottle reflects not only its raw materials but also the hidden guild fees and magical overhead behind its creation.

How to do it...

Step	Action	Description
1	Navigate to Cost management > Indirect cost policy setup > Costing sheet	Opens the costing sheet configuration workspace.
2	Click + New	Creates a new costing sheet for standard cost tracking.
3	Select Node type: Total for <i>Material cost</i>	Captures direct material cost (e.g., leather for backpacks).
4	Assign a Cost group for materials	Groups items like CLOTHING or STORAGE ITEMS.
5	Create a child node if needed	Allows detailed breakdowns (e.g., different leather types).
6	Select Node type: Total for <i>Overhead</i>	Adds indirect costs such as workshop lighting or magical expenses.
7	Assign a Cost group for overhead	Links indirect guild or magical service costs.

TABLE: Costing Sheet Setup

Field	Value	Description
Costing Sheet	STANDARD-FSD	Defines the costing rules for items in FSD currency.
Material Cost Group	STORAGEITEMS	Tied to product commodity code for backpacks and barrels.
Overhead Cost Group	GUILDSERVICES	Captures indirect magical and guild-related overhead.

Creating a Costing Version

A costing version establishes the framework for applying standard costs within a defined period. It tells the system whether to use standard or planned costs and provides a reference point for activating future cost updates. Creating a costing version allows companies to manage costs by fiscal year, product cycle, or strategic plan. For Greta Ironfist, the STD2025 version locks in stable costs for the upcoming trade year, giving her accountants and treasurers confidence in their forecasts and comparisons.

How to do it...

Step	Action	Description
1	On the Action Pane, click + New	Begins new costing version setup.
2	Select Costing type = Standard cost	Ensures fixed cost valuation.
3	Enter Version name = STD2025	Unique identifier for the costing period.
4	Set Block = No	Allows activation.
5	Set Block activation = No	Enables pending costs to be released.

TABLE: Costing Version Setup

Field	Value	Description
Costing Type	Standard Cost	Ensures perpetual use of fixed costs.
Version	STD2025	2025 Standard cost baseline.
Block	No	Keeps version active.
Block Activation	No	Allows pending prices to be released.

Activating Item Standard Costs

Assigning a standard cost to each product is the critical step where planning meets practice. This task ensures that items in inventory always carry a consistent cost value, regardless of vendor pricing or market swings. By activating standard costs, companies guarantee stable pricing for customers and reliable posting to the ledger. At the Waterdeep Trading Company, this means a leather backpack will always be valued at the same cost in 2025, no matter how suppliers in Baldur's Gate or Calimport adjust their prices.

How to do it...

Step	Action	Description
1	From Action Pane > Prices > Item Prices	Opens item cost entry form.
2	Click New	Add new item cost record.
3	Select Price type = Cost	Identifies this as a costing entry.
4	Select an Item number (e.g., BACKPACK-LEATHER)	Choose a product.
5	Enter Cost amount (e.g., 2 gp)	Standard cost value.
6	Enter Quantity = 1 Each	Cost per unit of measure.
7	Click Activate pending prices	Makes the cost effective.

TABLE: Standard Cost for Backpack, Leather

Field	Value	Description
Item	BACKPACK-LEATHER	Leather Backpack, holds 450gp.
Standard Cost	2 gp	Fixed value assigned for 2025.
Unit	Each	Cost applies per backpack.

Reviewing Variances via Purchase Orders

Variances highlight the difference between the fixed standard cost and the actual cost paid to vendors. Tracking these differences gives organizations insight into cost efficiency, supplier negotiations, and overall profitability. In Dynamics 365, variances are automatically posted to designated accounts, making them easy to monitor and analyze. For Greta's accountants, reviewing variances helps uncover when a vendor's invoice exceeds expectations—whether due to increased raw material prices or added magical handling fees—so corrective actions can be taken.

How to do it...

Step	Action	Description
1	Create a Purchase Order for BACKPACK-LEATHER	Order from vendor.

Step	Action	Description
2	Enter vendor cost (e.g., 2 gp 2 sp)	Slightly above standard.
3	Receive goods	System compares vendor invoice vs. standard.
4	Variance is posted to Standard Cost Variance account (e.g., 5300 Manufacturing Overhead / 6510 Magical Expenses)	Variance tracked in ledger.

TABLE: Variance Example

Field	Value	Description
Standard Cost	2 gp	Fixed baseline.
Purchase Cost	2 gp 2 sp	Actual paid to vendor.
Variance	+2 sp	Posted to variance account.

Review

In this training, you learned how Standard Costing provides consistency and control within Dynamics 365 Finance. You completed the following tasks:

- Configured a costing sheet to organize material, labor, and overhead into clear cost groups.
- Created a costing version (STD2025) to define the baseline for applying standard costs in the upcoming trade period.
- Activated a standard cost for an individual product, ensuring predictable valuation regardless of supplier changes.
- Reviewed how variances are generated when vendor prices differ from the standard, and how these differences are automatically posted to designated ledger accounts.

By completing these steps, you have established a foundation for stable pricing, variance analysis, and reliable reporting—key elements for maintaining financial discipline and customer confidence.

Conclusion

Standard Costing in Dynamics 365 Finance acts as a safeguard against market volatility. It ensures that products carry consistent, predictable costs while variances capture real-world fluctuations for analysis. For

the Waterdeep Trading Company, this means Greta Ironfist can confidently sell goods at stable prices while her accountants track any differences in supplier costs.

From a broader perspective, Standard Costing enhances decision-making by providing clarity in financial records, supporting budget control, and enabling accurate performance measurement. Whether applied to modern enterprises or Faerûnian trade empires, the principles remain the same: stable costs build stronger business foundations.

XP Award

You've earned **422 XP** for successfully configuring **Standard Costing** in Dynamics 365 Finance—a discipline of consistency and foresight that steadies the merchant seas of Faerûn. Greta Ironfist's ledgers now gleam with stability: each backpack, barrel, and reagent bottle bears a constant valuation, untouched by the whims of Baldur's Gate markets or Calimport tariffs. With variances captured like rogue coins in a treasurer's trap, the Waterdeep Trading Company sails forward with clarity, precision, and trust.

TABLE: XP Calculation Framework

Category	Criteria	XP Awarded
Base Task XP	Establishing Standard Costing framework in Cost Management	150 XP
Subtask: Configure Costing Sheet	Define nodes, cost groups (materials, overhead)	40 XP
Subtask: Create Costing Version (STD2025)	Establish standard cost period & activation rules	35 XP
Subtask: Assign Standard Cost to Items	Enter and activate cost for BACKPACK-LEATHER	50 XP
Subtask: Review Variances via PO	Generate and analyze difference postings	30 XP
Complexity Multiplier (35%)	Balancing cost stability, variance postings, and impact on financial reporting	+92 XP



Category	Criteria	XP Awarded
Lore Integration Bonus	Faerûnian trade narrative: guild fees, magical overhead, Sword Coast pricing stability	+25 XP

Your treasurer’s ink is now enchanted with certainty—where once markets fluctuated like storm tides, your standard costs now anchor the ledger firm as Mithral Hall’s bedrock. Variances whisper their truths, but the foundation stands unshaken.

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To all those who stand behind the vision, thank you for helping bring this world to life.

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ABOUT THE AUTHOR



Murray Fife is a seasoned Dynamics 365 expert, author, and former Microsoft MVP with a career in ERP that spans back to the late 20th century. With decades of experience across both the partner channel and Microsoft itself, Murray combines technical depth with practical know-how to help users confidently configure and master Dynamics 365.

Through his *Bare Bones Configuration Guides* and the *Advanced Dungeons & Dynamics 365 (AD&D365)* project, he breaks down complex concepts into clear, actionable steps—making the system accessible to new users and experienced consultants alike.

Murray's unique style blends hands-on walkthroughs with creative storytelling and themed demo environments, helping learners engage with Dynamics 365 in new and meaningful ways.

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